



ANNUAL REPORT AND
FINANCIAL STATEMENTS
2001



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Just like nuts and bolts, all elements at Diamond Trust go together.

Superior customer service, financial security, reliability, innovative financial services - each is inter-connected.

... and it's how seamlessly these elements work together that has determined our success.

BOARD OF DIRECTORS

James B. Galbraith * Chairman
Nasim M. Devji * Managing Director (Appointed on 28 June 2001)
Abdul A. Samji
Amin E. Merali
George O. Oraro
Iain Cheyne *
Iqbal G. Mamdani **
Jack J. Kisa
James Bonnardeaux ***
Mahmood P. Manji
Nizar N. Juma
Alan P. Beauregard ** (Resigned on 31 January 2001)

* British

** American

*** Belgian

COMPANY SECRETARY Elizabeth W. Hinga

REGISTERED OFFICE Nation Centre
Kimathi Street
PO Box 61711
City Square 00200
NAIROBI

AUDITORS PricewaterhouseCoopers
Certified Public Accountants
Rahimtulla Tower
Upper Hill Road
PO Box 43963
NAIROBI

BRANCHES Nation Centre
Kimathi Street
PO Box 61711
City Square 00200
NAIROBI

Diamond Trust House
Moi Avenue
PO Box 90564
MOMBASA

Diamond Trust House
Oginga Odinga Road
PO Box 1081
KISUMU

NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that the Thirty Sixth Annual General Meeting of the shareholders of Diamond Trust Bank Kenya Limited will be held at the Nairobi Serena Hotel, Nyerere Road, Nairobi, on Friday 28 June 2002 at 10.00 a.m. to transact the following business:

1. To confirm the Minutes of the Thirty Fifth Annual General Meeting held on 29 June 2001.
2. To receive, consider and adopt the Annual Report and Financial Statements for the year ended 31 December 2001.
3. To approve payment of a final dividend of 10% on the Issued and Paid-up Share Capital of Shs 318 million to the shareholders registered in our books as at 28 June 2002 on or about 19 July 2002, as recommended by the Board.
4. To elect Directors in accordance with the Company's Articles of Association.
5. To approve the Directors' fees.
6. To appoint the Company's Auditors, PricewaterhouseCoopers, in accordance with Section 159(2) of the Companies Act (Cap.486) and Section 24(1) of the Banking Act (Cap.488).
7. To note the Auditors' remuneration for the year 2001, and to authorise the Directors to fix the Auditors' remuneration for the year 2002.
8. To transact any other Ordinary Business of an Annual General Meeting.

SPECIAL BUSINESS

9. As the Nairobi Stock Exchange moves into the implementation of the Central Depository System, listed companies will need to amend their Articles of Association to embrace electronic records as evidence of ownership in compliance with the Central Depositories Act 2000. Consequently, it is proposed that the Company's Articles of Association be amended by inserting Article No. 142 as herein after appearing:

CENTRAL DEPOSITORIES ACT 2000

- 142 (I) The provisions of the Central Depositories Act 2000 as amended or modified from time to time shall apply to the Company to the extent that any securities of the Company are in part or in whole immobilised or dematerialised or are required by the regulations or rules issued under the Central Depositories Act to be immobilised or dematerialised in part or in whole, as the case may be. Any provisions of these Articles that are inconsistent with the Central Depositories Act or any regulations or rules issued or made pursuant thereto shall be deemed to be modified to the extent of such inconsistencies in their application to such securities. For the purposes of these Articles of Association, immobilisation and dematerialisation shall be construed in the same way as they are construed in the Central Depositories Act.



NOTICE OF THE ANNUAL GENERAL MEETING

- (II) Where any securities of the Company are forfeited pursuant to these Articles of Association after being immobilised or dematerialised, the Company shall be entitled to transfer such securities to a securities account designated by the Directors for this purpose.

By Order of the Board



Elizabeth W. Hinga
Company Secretary
26 February 2002
Nairobi

Note

A member entitled to attend and vote at the above Meeting is entitled to appoint one or more proxies to attend and vote on its/his/her behalf. Such proxy need not be a member of the Company. A proxy form, which must be lodged with the Company Secretary, P.O. Box 61711, City Square 00200, Nairobi not later than 48 hours before the time for holding the Meeting, is enclosed.



After five years of recession, the Kenyan economy registered a modest growth of 0.5% in 2001. The tragic events of 11 September 2001 led to a decline in economic activity around the world and this is likely to have a negative effect on the economy of Kenya. The government has been able to operate with a modest budget deficit and single digit inflation; the exchange rate of the Shilling against the US Dollar has remained steady throughout the year and interest rates have moved lower. The Central Bank (Amendment) Act 2000, more commonly known as the Donde Act, has created uncertainty for all banks. The current status is outlined on Page 36 of this report.

Lower rates of interest and an over-crowded banking market have forced banks to re-think their strategies. The Bank considers it would be imprudent to weaken its credit standards in order to obtain new business so new customers are attracted on price and service. Management has introduced a policy of competitive pricing coupled with a culture for speedy and

responsive service without sacrificing credit quality.

Against a backdrop of low growth and increased competition, management has mounted a concerted drive to win back lost customers and to gain new ones. After declining for many years, Loans and Advances to customers increased by 20% to Shs 1.8 billion. An active marketing effort to secure ancillary business has resulted in Fees and Commission Income growing from Shs 15 million to Shs 35 million.

In the push to increase revenues, the control of costs has not been forgotten. The staffing structure has been reviewed in order to align it to the needs of the business. All other areas of expense have been examined and operating costs have been tightly controlled. As a result, Staff Costs and Other Operating Expenses fell by 9% or Shs 34 million.

Non-performing advances as a percentage of total advances fell from 30% in 2000 to 18% in 2001

which is well below the industry average. The bank continued its prudent approach to provisioning for debts where there had been declines in security values. The Bad Debt Recovery Unit has made sterling efforts to recover loans from recalcitrant borrowers and this led to a write back of bad debt provisions amounting to Shs 10 million.

Despite these significant achievements, the profit before tax and exceptional items fell from Shs 143 million to Shs 58 million. The loan book continued to shrink in the first half of the year and it was only towards the end of the year that loan volumes started to build significantly. The benefit from the increased loans will only be felt in 2002. In addition, reduced operating margins in the face of increased competition for securing quality business impacted negatively on the Bank's profitability.

The profits on our investments in affiliate banks were Shs 16 million in 2001 against Shs 25 million in the previous year. Profits in Uganda

CHAIRMAN'S STATEMENT (continued)

declined by 29% and those in Tanzania fell by 39%. Shortages of qualified staff prevented the development of the activities in both countries. Strenuous efforts are being made to recruit suitably qualified personnel.

As advised in my Statement in the report for 2000, Mrs Nasim Devji was appointed Acting Chief Executive in January 2001 following the resignation of the previous Managing Director. After an extensive search, the Board concluded that Mrs Devji was the best candidate to assume the post of Managing Director and she was confirmed in the position on 28 June 2001. The progress made in developing the Bank's business in 2001 was achieved under the leadership provided by Mrs Devji.

The management and staff have worked diligently in the interests of the Bank and to provide a good service to our customers. On behalf of the shareholders and the Board, I would like to express our appreciation for the valuable contribution during another challenging year.

The bank launched a series of new and innovative products in 2001 such as the Easy Access Savings accounts, Prime Dollar and Prime Sterling Current accounts. The bank will continue to widen its product offering in 2002, tailored to meet the identified needs of its customers. In this respect, insurance premium financing was introduced at the beginning of 2002 and a foreign currency denominated savings account product is due to be launched shortly.

In its recently approved Business Strategy for the period 2002 to 2005, the Bank recognises the need to be continuously accessible to its customers. In this regard, Diamond Trust is committed to expanding its branch network, particularly in the key suburban areas of Nairobi. Initially, we intend to open a new branch in the third quarter of 2002 and the planned increase in our branch network will take place in a phased manner, over the next three years.

The Board is committed to good corporate governance and supports the Guidelines on Corporate Governance Practices recently

issued by the Capital Markets Authority. This document provides a lengthy list of recommendations and I am pleased to report that many of the guidelines are already being observed. In particular, I would like to mention that your Board put in place the best practices relating to the role of Audit Committees many years ago.

We take this opportunity to welcome new customers to the Bank and to thank our depositors and borrowers for their loyal support. We strive to repay this confidence by being responsive to the needs of all our customers and by providing an unrivalled service.



J.B. Galbraith
Chairman

26 March 2002



Baada ya miaka mitano ya kupungua kwa ukuaji wa kiuchumi, uchumi wa Kenya ulirekodi ukuaji wa kadiri wa asilimia 0.5% mwaka wa 2001. Matukio ya kuhuzunisha ya Septemba 11 2001 yalisababisha kupungua kwa shughuli za kiuchumi ulimwenguni kote na hii inaweza kusababisha matokeo hafifu kwa uchumi wa Kenya. Serikali imeweza kuendesha shughuli zake kwa nakisi wastani ya bajeti na mfumko wa bei za maisha kwa tarakimu moja tu. Kima cha ubadilishanaji wa shilingi ya Kenya dhidi ya Dola ya Kimarekani kimebakia kuwa thabiti mwaka mzima na kima cha riba kimepungua. Sheria (marekebisho) ya Benki Kuu ya mwaka 2000, inayojulikana zaidi kama sheria ya Donde imezusha hali ya wasiwasi kwa benki zote. Hali iliyopo sasa inaelezwa katika ukurasa wa 36 wa taarifa hii.

Kima cha chini cha riba na msongamano katika soko la benki vimeyafanya mabanki kufikiria upya mbinu zao. Benki hii inaamini siyo

jambo la busara kupunguza viwango vyake vya mikopo ili kujipatia biashara mpya na kuwavutia wateja wapya kwa bidhaa na huduma bora. Wasimamizi wameanzisha sera ya bei za mashindano pamoja na mazoea ya kutoa huduma za kuvutia na kwa haraka zaidi pasipo kudunisha sifa ya mikopo.

Dhidi ya ukuaji wa chini, na mashindano yaliyokithiri kutoka kwa benki zingine, wasimamizi wameanzisha juhudi za kuwarudisha wateja waliopotea na kuwapata wateja wengine wapya. Baada ya kupungua kwa miaka mingi, mikopo na vyambele kwa wateja viliongezeka kwa asilimia 20% na kufikia Sh. 1.8 bilioni. Juhudi kali za uuzaji kusudi kujipatia biashara ndogondogo zimefanikiwa kuongeza mapato yatokanayo na ada na asilimia ya faida kutoka Sh. 15 milioni hadi Sh. 35 milioni.

Katika juhudi za kuongeza mapato, udhibiti wa gharama haujasahuliwa. Muundo wa ufanyikazi umebadilishwa ili kuufungama-nisha na maslahi ya kibiashara. Mahitaji mengine ya

matumizi yamechunguzwa na gharama za utenda kazi zimedhibitiwa ipasavyo. Kutokana na hayo, gharama za ufanyikazi na gharama zingine za utendaji zilishuka kwa asilimia 9% au Sh. 34 milioni.

Kiwango cha mikopo isiyolipwa kilipungua kwa asilimia 30% katika mwaka wa 2000 kufikia asilimia 18% mwaka 2001 ambacho ni kiwango cha wastani katika biashara ya pesa. Benki iliendeleza mtazamo wake wenye busara katika uwekaji wa madeni pale thamani za amana ziliteremka. Afisi ya kupata tena madeni imetekeleza juhudi halisi kuhakikisha ulipaji wa mikopo kutoka kwa wakopaji wakaaidi na hili lilipelekea kulipwa kwa mikopo kiasi cha Sh. 10 milioni.

Licha ya mafanikio haya muhimu, faida kabla ya kodi na vifaa vya kipekee ilishuka kutoka Sh. 143 milioni hadi Sh. 58 milioni. Mikopo ilizidi kupungua katika nusu ya kwanza ya mwaka na ilikuwa tu kufikia mwishoni mwa mwaka ambapo kiasi cha mikopo kilianza kuongezeka. Faida kutokana na

mikopo hii iliyoongezeka itaweza kupatikana mwaka wa 2002. Pamoja na hayo, kiasi cha utendaji kilichopungua kutokana na ushindani mkali wa kupata biashara bora kiliathiri vibaya faida ya benki.

Faida kutokana na rasilimali yetu katika mabanki shirikishi ilikuwa Sh. 16 milioni mwaka wa 2001 ikilinganishwa na Sh. 25 milioni mwaka uliotangulia. Faida nchini Uganda ilishuka kwa asilimia 29% na kule Tanzania ikashuka kwa asilimia 39%. Upungufu wa wafanyikazi waliohitimu ulizuia ustawi wa shughuli katika mataifa yote mawili. Juhudi zinafanywa kuwaajiri wafanyikazi waliohitimu ipasavyo.

Kama nilivyoshauri katika taarifa yangu ya 2000, Bi. Nasim Devji aliteuliwa kuwa Kaimu Mrasimu Mkuu mwezi Januari 2001 kufuatia kujiuzulu kwa Meneja Mkurugenzi wa zamani. Baada ya kutafuta kila mahali, Halmashauri iliamua kuwa Bi. Devji alifaa zaidi kuchukua wadhifa wa Meneja Mkurugenzi na aliidhinishwa katika wadhifa huo tarehe 28 Juni 2001. Maendeleo yaliyofanyika kustawisha biashara ya benki mwaka 2001 yalipatikana chini ya uongozi wa Bi. Devji.

Viongozi na wafanyikazi wamefanya kazi kwa bidii kwa manufaa ya benki na kutoa huduma bora kwa wateja wetu. Kwa niaba ya wenye hisa na halmashauri ya wakurugenzi, ningependa kuwashukuru kwa mchango huo mkubwa na wa thamani katika mwaka mwingine mgumu.

Benki ilizindua msururu wa bidhaa na huduma mpya mwaka 2001 kama vile Easy Access Savings Account, Prime Dollar na Prime Sterling Current Account. Benki itaendelea kuongeza huduma zake mwaka wa 2002 ambazo zinadhamiriwa kuridhisha mahitaji yaliyo-tambuliwa ya wateja wetu. Kwa hali hii, ugharamiaji wa ada za bima ulianzishwa mwanzoni mwa 2002 na akaunti za akiba za fedha za kigeni zitaanzishwa hivi karibuni.

Katika mpango wake wa mikakati ya kibiashara wa kipindi cha kutoka 2002 hadi 2005 ulioidhinishwa hivi majuzi, benki inatambua haja ya kufikiwa na wateja wake kila wakati. Kwa hali hii, Diamond Trust imejitolea kuongezea matawi yake hasa katika viunga muhimu vya jiji la Nairobi. Mwanzoni, tunatumaini kufungua tawi jipya katika robo ya tatu ya mwaka 2002 na kisha matawi yetu yamepangiwa kuongezeka kwa

awamu ya miaka mitatu ijayo.

Halmashauri imejitolea kuhakikisha uongozi mwema wa kampuni na inaunga mkono maongozi ya utendaji mzuri katika makampuni yaliyotolewa hivi majuzi na Capital Markets Authority. Hati hii ina orodha ndefu ya mapendekezo na nina furaha kuripoti kwamba mengi ya maongozi hayo tayari yanazingatiwa. Hasa, ningependa kusema kuwa halmashauri yenu ilitekeleza utendaji bora kuhusiana na wajibu wa kamati za ukaguzi wa mahesabu miaka mingi iliyopita.

Tunachukua nafasi hii kuwakaribisha wateja wapya na kuwashukuru wawekaji hazina wetu pamoja na wakopaji kwa ufadhili wao mwaminifu. Tunajitahidi kuulipa uaminifu huu kwa kuitikia matakwa ya wateja wetu wote na kwa kutoa huduma zisizo na kifani.



J. B. Galbraith
Mwenyekiti
Machi 26, 2002

Taarifa iliyoko hapa juu ni tafsiri ya Kiswahili ya Taarifa ya Mwenyekiti iliyoko ukurasa wa 5 na 6. Iwapo patatokea utata wowote katika tafsiri ya maana halisi ya maneno yaliyotumika, basi tafsiri ya Kiingereza ndiyo itakayotawala.

The text set out above is a Kiswahili translation of the Chairman's Statement, which appears on pages 5 and 6. In the event of any dispute in the interpretation of the Kiswahili version, the English version shall be the authoritative version.

REPORT OF THE DIRECTORS For the year ended 31 December 2001

The directors submit their report together with the audited financial statements for the year ended 31 December 2001, which disclose the state of affairs of the group.

INCORPORATION AND REGISTERED OFFICE

The bank is incorporated in Kenya under the Companies Act and is domiciled in Kenya. The address of its registered office is as disclosed on page 2.

PRINCIPAL ACTIVITIES

The group is engaged in the business of providing banking and other related services to the general public.

RESULTS AND DIVIDEND

	Shs 000
Profit before taxation	51,407
Taxation	<u>10,475</u>
Profit after taxation	40,932
Dividends	<u>31,800</u>
Retained profit for the year	<u>9,132</u>

During the year no interim dividend was paid (2000: Shs Nil). The directors recommend the approval of a final dividend of Shs 31,800,000 (2000: Shs 47,700,000).

DIRECTORS

The present membership of the Board is listed on page 2.

From the present members of the Board of Directors as listed, Messrs Iqbal G. Mamdani, James B. Galbraith and Mahmood P. Manji retire by rotation under Articles No.93 and No.94 of the Bank's Articles of Association and being eligible, offer themselves for re-election.

AUDITORS

The Bank's auditors, PricewaterhouseCoopers, have indicated their willingness to continue in office in accordance with the provisions of Section 159(2) of the Companies Act and Section 24(1) of the Banking Act.

By Order of the Board



Elizabeth W. Hinga
Company Secretary
26 February 2002
Nairobi



REPORT OF THE AUDITORS

To the Members of Diamond Trust Bank Kenya Limited

We have audited the financial statements set out on pages 11 to 36. We have obtained all the information and explanations that to the best of our knowledge and belief were necessary for the purposes of our audit. The balance sheet of the bank is in agreement with the books of account.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

The directors are responsible for the preparation of financial statements that give a true and fair view of the state of affairs of the group and of the bank and of the profit or loss of the group. Our responsibility is to express an independent opinion on the financial statements based on our audit.

BASIS OF OPINION

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement. An audit includes an examination, on a test basis, of evidence supporting the amounts and disclosures in the financial statements. It also includes an assessment of the accounting policies used and significant estimates made by the directors, as well as an evaluation of the overall presentation of the financial statements.

OPINION

In our opinion proper books of account have been kept and the financial statements give a true and fair view of the state of the financial affairs of the group and of the bank at 31 December 2001 and of the profit and cash flows of the group for the year then ended and comply with International Accounting Standards and the Kenyan Companies Act.

PRICEWATERHOUSECOOPERS 

Certified Public Accountants
Nairobi
28 February 2002



CONSOLIDATED PROFIT AND LOSS ACCOUNT

for the year ended 31 December 2001

	Notes	2001 Shs 000	2000 Shs 000
INTEREST INCOME	1	553,200	772,952
INTEREST EXPENSE	2	(256,483)	(313,554)
NET INTEREST INCOME		296,717	459,398
Fee and commission income		34,926	14,603
Foreign exchange income		7,152	4,835
Other operating income		15,616	21,757
OPERATING INCOME		354,411	500,593
Operating expenses	3	(322,665)	(354,058)
Write back of/(provision for) bad and doubtful debts	14	10,282	(28,255)
PROFIT FROM OPERATIONS		42,028	118,280
Income from associates	12	16,379	24,932
(Loss)/gain on write down/sale of non-banking assets	5	(7,000)	57,134
PROFIT BEFORE TAX		51,407	200,346
Tax	6	(10,475)	(36,772)
PROFIT AFTER TAX		40,932	163,574
DIVIDENDS			
- Proposed final dividend for the year	8	31,800	47,700
EARNINGS PER SHARE (Shs)			
- Basic and diluted	7	0.51	2.06
DIVIDEND PER SHARE (Shs)	8	0.40	0.60

CONSOLIDATED BALANCE SHEET

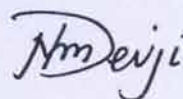
at 31 December 2001

	Notes	2001 Shs 000	2000 Shs 000
ASSETS			
Cash and balances with Central Bank of Kenya	9	659,736	329,346
Government securities	10	1,456,389	2,146,507
Deposits and balances due from banking institutions	11	1,072,587	597,405
Interest receivable and other assets	13	94,333	157,802
Loans and advances to customers	14	1,789,406	1,486,157
Tax recoverable		24,680	24,680
Other investments	15	27,858	100
Investment in associates	12	168,165	161,892
Deferred tax asset	16	53,706	71,472
Property and equipment	17	183,419	179,942
TOTAL ASSETS		5,530,279	5,155,303
LIABILITIES			
Customer deposits	18	3,888,650	3,672,256
Deposits and balances due to banking institutions	19	150,849	-
Interest payable and other liabilities	20	240,751	225,917
TOTAL LIABILITIES		4,280,250	3,898,173
SHAREHOLDERS' EQUITY			
Share capital	21	318,000	318,000
Share premium	21	16,320	16,320
Retained earnings		773,937	772,865
Capital reserves	22	109,972	102,245
Proposed dividend	8	31,800	47,700
TOTAL SHAREHOLDERS' EQUITY		1,250,029	1,257,130
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY		5,530,279	5,155,303

The financial statements on pages 11 to 36 were approved for issue by the Board of Directors on 26 February 2002 and signed on its behalf by:



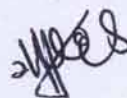
J. B. Galbraith, Chairman



N. M. Devji, Managing Director



J. J. Kisa, Director



E. W. Hinga, Secretary

BANK BALANCE SHEET

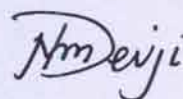
at 31 December 2001

	Notes	2001 Shs 000	2000 Shs 000
ASSETS			
Cash and balances with Central Bank of Kenya	9	659,736	329,346
Government securities	10	1,456,389	2,146,507
Deposits and balances due from banking institutions	11	1,072,587	597,405
Interest receivable and other assets	13	94,333	157,802
Loans and advances to customers	14	1,789,406	1,486,157
Tax recoverable		18,474	18,474
Other investments	15	27,858	100
Investment in subsidiary and associates	12	79,139	79,139
Deferred tax asset	16	53,706	71,472
Property and equipment	17	183,419	179,942
TOTAL ASSETS		5,435,047	5,066,344
LIABILITIES			
Customer deposits	18	3,888,650	3,672,256
Deposits and balances due to banking institutions	19	150,849	-
Interest payable and other liabilities	20	320,313	305,479
TOTAL LIABILITIES		4,359,812	3,977,735
SHAREHOLDERS' EQUITY			
Share capital	21	318,000	318,000
Share premium	21	16,320	16,320
Retained earnings		665,765	672,941
Capital reserves	22	43,350	33,648
Proposed dividend	8	31,800	47,700
TOTAL SHAREHOLDERS' EQUITY		1,075,235	1,088,609
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY		5,435,047	5,066,344

The financial statements on pages 11 to 36 were approved for issue by the Board of Directors on 26 February 2002 and signed on its behalf by:



J. B. Galbraith, Chairman



N. M. Devji, Managing Director



J. J. Kisa, Director



E. W. Hinga, Secretary

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2001

	Notes	Share Capital Shs 000	Share Premium Shs 000	Capital Reserves Shs 000	Retained Earnings Shs 000	Proposed Dividends Shs 000	Total Shs 000
YEAR ENDED 31 DECEMBER 2000							
At start of year							
- as previously reported		318,000	16,320	153,385	650,058	31,800	1,169,563
- prior year adjustment (deferred tax on revaluation surplus)	16	-	-	(14,421)	-	-	(14,421)
As restated		318,000	16,320	138,964	650,058	31,800	1,155,142
Translation differences (note (i))		-	-	578	1,956	-	2,534
Release of reserves on disposal of property		-	-	(25,366)	-	-	(25,366)
Release of reserves on disposal of quoted shares		-	-	(11,931)	4,977	-	(6,954)
Net profit		-	-	-	163,574	-	163,574
Dividends:							
- Final for 1999		-	-	-	-	(31,800)	(31,800)
- Proposed final for 2000	8	-	-	-	(47,700)	47,700	-
At end of year		318,000	16,320	102,245	772,865	47,700	1,257,130
YEAR ENDED 31 DECEMBER 2001							
At start of year							
- as previously reported		318,000	16,320	116,666	772,865	47,700	1,271,551
- prior year adjustment (deferred tax on revaluation surplus)	16	-	-	(14,421)	-	-	(14,421)
As restated		318,000	16,320	102,245	772,865	47,700	1,257,130
Translation differences (note (i))		-	-	(1,975)	(8,060)	-	(10,035)
Revaluation surplus on property		-	-	13,860	-	-	13,860
Deferred tax on revaluation	16	-	-	(4,158)	-	-	(4,158)
Net profit		-	-	-	40,932	-	40,932
Dividends:							
- Final for 2000		-	-	-	-	(47,700)	(47,700)
- Proposed final for 2001	8	-	-	-	(31,800)	31,800	-
At end of year		318,000	16,320	109,972	773,937	31,800	1,250,029

(i) These differences arise on translation of opening reserves in associated companies at year end exchange rates.

BANK STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2001

	Notes	Share Capital Shs 000	Share Premium Shs 000	Capital Reserves Shs 000	Retained Earnings Shs 000	Proposed Dividends Shs 000	Total Shs 000
YEAR ENDED 31 DECEMBER 2000							
At start of year							
- as previously reported		318,000	16,320	80,389	582,084	31,800	1,028,593
- prior year adjustment (deferred tax on revaluation surplus)	16	-	-	(14,421)	-	-	(14,421)
As restated		318,000	16,320	65,968	582,084	31,800	1,014,172
Release of reserves on disposal of property		-	-	(25,366)	-	-	(25,366)
Release of reserves on disposal of quoted shares		-	-	(6,954)	-	-	(6,954)
Net profit		-	-	-	138,557	-	138,557
Dividends:							
- Final for 1999		-	-	-	-	(31,800)	(31,800)
- Proposed final for 2000	8	-	-	-	(47,700)	47,700	-
At end of year		318,000	16,320	33,648	672,941	47,700	1,088,609
YEAR ENDED 31 DECEMBER 2001							
At start of year							
- as previously reported		318,000	16,320	48,069	672,941	47,700	1,103,030
- prior year adjustment (deferred tax on revaluation surplus)	16	-	-	(14,421)	-	-	(14,421)
As restated		318,000	16,320	33,648	672,941	47,700	1,088,609
Revaluation surplus on property		-	-	13,860	-	-	13,860
Deferred tax on revaluation	16	-	-	(4,158)	-	-	(4,158)
Net profit		-	-	-	24,624	-	24,624
Dividends:							
- Final for 2000		-	-	-	-	(47,700)	(47,700)
- Proposed final for 2001	8	-	-	-	(31,800)	31,800	-
At end of year		318,000	16,320	43,350	665,765	31,800	1,075,235

CONSOLIDATED CASH FLOW STATEMENT
for the year ended 31 December 2001

	Notes	2001 Shs 000	2000 Shs 000
CASH FLOWS FROM OPERATING ACTIVITIES			
Interest receipts		561,370	812,251
Interest payments		(257,504)	(340,491)
Net fee and commission receipts		34,926	14,603
Other income received		22,768	21,045
Recoveries from loans previously provided	14	17,888	11,273
Payments to employees and suppliers		(290,733)	(325,202)
Cash flows from operating activities before changes in operating assets and liabilities		88,715	193,479
Changes in operating assets and liabilities:			
- Cash ratio balance		(325,714)	87,706
- Government securities		241,850	(100,000)
- Loans and advances		(322,943)	888,970
- Other assets		55,299	(57,677)
- Customer deposits		216,394	(855,277)
- Other liabilities		15,855	(45,898)
Net cash (used)/generated from operating activities		(30,544)	111,303
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property and equipment	17	(9,898)	(29,079)
Proceeds from sale of property and equipment		437	48,032
Proceeds from disposal of investments		-	92,634
Purchase of investments		(27,758)	-
Deposit for shares in associate company		(7,000)	-
Dividend received		3,204	8,869
Net cash (used)/generated from investing activities		(41,015)	120,456
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividends paid		(47,700)	(31,800)
Net cash used in financing activities		(47,700)	(31,800)
NET (DECREASE)/ INCREASE IN CASH AND CASH EQUIVALENTS		(119,259)	199,959
Cash and cash equivalents at start of year		2,263,589	2,063,630
CASH AND CASH EQUIVALENTS AT END OF YEAR	30	2,144,330	2,263,589

The principal accounting policies adopted in the preparation of these financial statements are set out below:

BASIS OF PREPARATION

The financial statements are prepared in accordance with and comply with International Accounting Standards. The financial statements are presented in Kenya Shillings (Shs) and are prepared under the historical cost convention modified to include the revaluation of properties.

CONSOLIDATION

The consolidated financial statements comprise the financial statements of Diamond Trust Bank Kenya Limited and its subsidiary company, Premier Savings and Finance Limited, made up to 31 December. All intercompany transactions, balances and unrealised surpluses and deficits on transactions between the group companies have been eliminated. The accounting policies for the subsidiary are consistent with the policies adopted by the bank.

ASSOCIATED COMPANIES

Investments in associated companies are accounted for by the equity method of accounting. These are undertakings in which the group has between 20% and 50% of the voting rights, and over which the group exercises significant influence, but which it does not control. Provisions are recorded for long term impairment in value.

Equity accounting involves recognising in the income statement the group's share of the associates' profit or loss for the year. The group's interest in the associates is carried in the balance sheet at an amount that reflects its share of the net assets of the associates and includes goodwill at acquisition.

A listing of the group's principal associated undertakings is shown in Note 12.

INVESTMENT IN SUBSIDIARY COMPANY

The investment in the subsidiary company is stated in the bank's balance sheet at cost less provision for impairment losses. Where, in the opinion of the directors, there has been impairment in the value of an investment, the loss is recognised as an expense in the period in which the impairment is identified.

On disposal of an investment, the difference between the net disposal proceeds and the carrying amount is charged or credited to the profit and loss account.

INCOME RECOGNITION

Income is recognised in the period in which it is earned except for dividends from investments, which are recognised when declared. Interest income on loans that are non-performing is suspended and excluded from income until it is received. Interest income includes coupons earned on Treasury bonds and accrued discounts on Treasury bills.

ACCOUNTING POLICIES

for the year ended 31 December 2001

PROPERTY AND EQUIPMENT

Property and equipment is initially recorded at cost. Leasehold land and buildings are subsequently shown at revalued amounts, based on periodic valuations by external independent valuers. All other property and equipment is stated at historical cost less depreciation.

Increases in the carrying amount arising on revaluation are credited to a revaluation reserve. Decreases that offset previous increases of the same asset are charged against the revaluation reserve; all other decreases are charged to the profit and loss account.

Depreciation is calculated on a straight line basis by reference to the expected useful lives of the assets concerned. The rates used are as follows:-

Motor vehicles	25%
Furniture, fittings and equipment	10, 20 and 25%

GOVERNMENT SECURITIES

Government securities comprise Treasury bills and bonds, which are debt securities issued by the Government of Kenya. Treasury bills are stated at face value less unearned interest. Treasury bonds are stated at amortised cost.

BAD AND DOUBTFUL ADVANCES

Specific provisions are made in relation to identified risk advances and a general provision is maintained against risks which although not identified may arise in any portfolio of bank advances. The resulting charge/release is dealt with in the profit and loss account. When an advance is deemed uncollectible it is written off against the related bad debt provision. Subsequent recoveries of advances that have been written off are credited to the profit and loss account.

DEFERRED TAX

Deferred tax is provided in full, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Tax rates enacted or substantively enacted at the balance sheet date are used to determine deferred tax.

Deferred tax assets are recognised only to the extent that is probable that future taxable profits will be available against which the temporary differences can be utilised.

TRANSLATION OF FOREIGN CURRENCIES

Transactions during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at the rates ruling at that date. The resulting differences from conversion and translation are dealt with in the profit and loss account in the year in which they arise. Exchange differences resulting from translation of opening net assets of foreign associated companies are dealt with in reserves.

EMPLOYEE ENTITLEMENTS

Employee entitlements to gratuity and long service awards are recognised when they accrue to employees. A provision is made for the liability for such entitlements as a result of services rendered by employees up to the balance sheet date.

The monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

RETIREMENT BENEFIT OBLIGATIONS

The group operates a defined contribution retirement scheme, the assets of which are held in a separate trustee-administered fund. The group's contributions to the defined contribution scheme are charged to the income statement in the year to which they relate.

DIVIDENDS

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until approved.

FORWARD FOREIGN EXCHANGE CONTRACTS

Forward foreign exchange contracts are carried at their fair value. Fair values are obtained from appropriate pricing models.

Gains and losses on forward foreign exchange contracts are included in net trading income as they arise.

ACCEPTANCES, GUARANTEES AND LETTERS OF CREDIT

Acceptances, guarantees and letters of credit are accounted for as off-balance sheet transactions and disclosed as contingent liabilities.

COMPARATIVES

Where necessary, comparative figures have been adjusted or extended to conform with changes in presentation in the current year.

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
for the year ended 31 December 2001

1 INTEREST INCOME

	2001 Shs 000	2000 Shs 000
Loans and advances	220,008	460,257
Government securities	304,193	282,782
Placements and bank balances	22,587	29,913
Commercial paper and bonds	6,412	-
	<u>553,200</u>	<u>772,952</u>

2 INTEREST EXPENSE

Customer deposits	252,674	310,850
Borrowed funds	3,809	2,704
	<u>256,483</u>	<u>313,554</u>

3 OPERATING EXPENSES

The following items are included within operating expenses:

Staff costs (Note 4)	164,503	165,293
Depreciation (Note 17)	19,782	20,183
Loss/(gain) on sale of property and equipment	59	(313)
Contribution to Deposit Protection Fund	6,082	7,002
Auditors' remuneration	2,145	2,145
	<u>192,571</u>	<u>214,310</u>

4 STAFF COSTS

Included within staff costs are:

Retirement benefit costs:		
- Defined contribution scheme	8,880	8,361
	<u>8,880</u>	<u>8,361</u>

The number of persons employed by the group (excluding associates) at the year end was 97 (2000:107).

5 (LOSS)/GAIN ON WRITE DOWN/ SALE OF NON-BANKING ASSETS

Gain on sale of properties	-	34,962
(Loss)/Gain on write down/ sale of equity investments	(7,000)	22,172
	<u>(7,000)</u>	<u>57,134</u>

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
for the year ended 31 December 2001

6 TAX

	2001 Shs 000	2000 Shs 000
Current tax	-	208
Deferred tax (Note 16)	13,608	35,948
Share of tax of associates (Note 12)	(3,133)	616
	<u>10,475</u>	<u>36,772</u>

The tax on the group's profit before tax differs from the theoretical amount that would arise using the basic tax rate as follows:

Profit before tax	51,407	200,346
Tax calculated at a tax rate of 30% (2000: 30%)	15,422	60,104
Tax effect of:		
Income not subject to tax	(849)	(17,672)
Expenses not deductible for tax purposes	3,941	2,274
Utilisation of previously unrecognised tax losses and income exempt from tax in subsidiary and associates	(8,047)	(8,019)
Other	8	85
Tax charge	<u>10,475</u>	<u>36,772</u>

7 EARNINGS PER SHARE

Basic earnings per share are calculated on the profit attributable to shareholders of Shs 40,932,000 (2000: Shs 163,574,000) and on the weighted average number of ordinary shares outstanding during the year.

Net profit attributable to shareholders (Shs thousands)	40,932	163,574
Number of ordinary shares in issue (thousands)	79,500	79,500
Basic earnings per share (Shs)	0.51	2.06

There were no dilutive shares outstanding at 31 December 2001 or 2000.

8 DIVIDENDS PER SHARE

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting. At the annual general meeting to be held on 28 June 2002, a final dividend in respect of the year ended 31 December 2001 of Shs 0.40 per share amounting to a total of Shs 31,800,000 is to be proposed.

During the year no interim dividend was paid. The total dividend for the year is Shs 0.40 per share (2000: Shs 0.60), amounting to a total of Shs 31,800,000 (2000: Shs 47,700,000).

Payment of dividends is subject to withholding tax at a rate of 5% for residents and 10% for non-resident shareholders.

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
for the year ended 31 December 2001

9 CASH AND BALANCES WITH CENTRAL BANK OF KENYA

Group and bank

	2001 Shs 000	2000 Shs 000
Cash in hand	25,353	20,677
Balances with Central Bank of Kenya	634,383	308,669
	<u>659,736</u>	<u>329,346</u>

Banks are required to maintain a prescribed minimum cash balance with the Central Bank of Kenya. The amount is determined as 10% of the average outstanding local currency customer deposits over a cash ratio cycle period of one month.

10 GOVERNMENT SECURITIES

Group and bank

Treasury bills and bonds:

Maturing within 90 days of the date of acquisition	1,197,239	1,645,507
Maturing after 90 days of the date of acquisition	258,150	500,000
	<u>1,455,389</u>	<u>2,145,507</u>

Other Government securities

Maturing after one year	1,000	1,000
	<u>1,456,389</u>	<u>2,146,507</u>

11 DEPOSITS AND BALANCES DUE FROM BANKING INSTITUTIONS

Group and bank

Due from Central Bank of Kenya under repurchase agreements	590,409	-
Due from other banks	482,178	597,405
	<u>1,072,587</u>	<u>597,405</u>

All deposits due from banking institutions are due within 90 days.

NOTES FORMING PART OF THE FINANCIAL STATEMENTS

for the year ended 31 December 2001

12 INVESTMENT IN ASSOCIATES

Group

	2001 Shs 000	2000 Shs 000
At start of year	161,892	157,886
Share of results before tax	16,379	24,932
Share of tax	3,133	(616)
Dividend paid	(3,204)	(3,635)
Translation differences	(10,035)	2,534
Sale/write-off shares in associates	-	(19,209)
At end of year	168,165	161,892

The subsidiary and the associates are listed below together with the interests held.

		Group		Bank	
	Beneficial Ownership	2001 Shs 000	2000 Shs 000	2001 Shs 000	2000 Shs 000
Subsidiary company					
Premier Savings and Finance Limited	100%	-	-	29,137	29,137
Associated companies					
ComTech Systems Limited	29%	1	1	1	1
Diamond Trust Bank Uganda Limited	27%	59,894	51,980	25,000	25,000
Diamond Trust Bank Tanzania Limited	33%	108,269	109,910	25,000	25,000
Services and Systems Limited	40%	1	1	1	1
		168,165	161,892	50,002	50,002
Total investment in subsidiary and associated companies		168,165	161,892	79,139	79,139

The subsidiary, which is incorporated in Kenya, is now dormant.

13 INTEREST RECEIVABLE AND OTHER ASSETS

Group and bank

	2001 Shs 000	2000 Shs 000
Interest receivable	14,293	29,306
Uncleared effects	51,030	12,246
Other	29,010	116,250
	94,333	157,802

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
for the year ended 31 December 2001

14 LOANS AND ADVANCES TO CUSTOMERS

Group and bank

	2001 Shs 000	2000 Shs 000
Gross loans to customers	2,289,089	1,877,459
Less: interest in suspense	388,755	275,389
	<u>1,900,334</u>	<u>1,602,070</u>
Less: Provision for bad and doubtful debts		
Specific provision	94,928	91,824
General provision	16,000	24,089
Net loans and advances	<u>1,789,406</u>	<u>1,486,157</u>
Advances to customers by type (net of interest in suspense)		
Overdrafts	710,251	264,516
Commercial loans and mortgages	1,190,083	1,337,554
	<u>1,900,334</u>	<u>1,602,070</u>

Movement in provision for bad and doubtful debts are as follows:

	Specific Provision Shs 000	General Provision Shs 000
YEAR ENDED 31 DECEMBER 2000		
At start of year	176,909	24,089
New and increased provision	48,183	-
Recoveries of amounts previously provided	(11,273)	-
Write-off of prior year bad debts provision	(121,995)	-
At end of year	<u>91,824</u>	<u>24,089</u>
YEAR ENDED 31 DECEMBER 2001		
At start of year	91,824	24,089
New and increased provision	27,782	-
Recoveries of amounts previously provided	(17,888)	-
Write-off of prior years bad debts provision	(6,790)	-
Write back of excess provision	-	(8,089)
At end of year	<u>94,928</u>	<u>16,000</u>

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
for the year ended 31 December 2001

14 LOANS AND ADVANCES TO CUSTOMERS (continued)

	Specific Provision Shs 000	General Provision Shs 000	Total Shs 000
Charge to profit and loss account			
YEAR ENDED 31 DECEMBER 2000			
New and increased provision	48,183	-	48,183
Recoveries of amounts previously provided	(11,273)	-	(11,273)
Net increase in provision	36,910	-	36,910
Amounts recovered previously written off	(8,655)	-	(8,655)
Net charge to profit and loss account	28,255	-	28,255
YEAR ENDED 31 DECEMBER 2001			
New and increased provision	27,782	-	27,782
Recoveries of amounts previously provided	(17,888)	-	(17,888)
Write back of excess provision	-	(8,089)	(8,089)
Net increase (decrease) in provision	9,894	(8,089)	1,805
Amounts recovered previously written off	(12,087)	-	(12,087)
Net write back to profit and loss account	(2,193)	(8,089)	(10,282)

The aggregate amount of non-performing loans, net of provisions, on which interest has been suspended amounted to Shs 244,554,000 as at 31 December 2001 (2000: Shs 391,176,000). Interest amounting to Shs 388,755,000 (2000: Shs 275,389,000) has been suspended. All loans have been written down to their estimated recoverable amount.

Economic sector risk concentrations within the customer loan portfolio (net of interest in suspense) were as follows:

	2001 Shs 000	2000 Shs 000	2001 %	2000 %
Agriculture, hunting, fishing and forestry	9,310	26,201	0	2
Manufacturing	282,002	263,993	15	16
Wholesale and retail trade restaurant	544,714	373,972	29	23
Transport and communications	394,768	330,341	21	21
Business services	100,467	128,171	5	8
Social, community & personal services	182,043	164,802	10	10
Real estate	74,705	52,108	4	3
Other	312,325	262,482	16	17
	1,900,334	1,602,070	100	100

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
for the year ended 31 December 2001

14 LOANS AND ADVANCES TO CUSTOMERS (continued)

The loans and advances to customers include finance lease receivables, which are analysed as follows:

	2001 Shs 000	2000 Shs 000
Gross investment in finance leases	285,198	436,049
Unearned future finance income on finance leases	(15,386)	(50,114)
Net investment in finance leases	<u>269,812</u>	<u>385,935</u>

The allowance for uncollectable finance lease receivables included in the provision for bad and doubtful debts amounted to Shs 36,030,000 as at 31 December 2001 (2000: Shs 39,620,000).

15 OTHER INVESTMENTS

Group and bank

Unquoted shares	100	100
Short term commercial paper	7,758	-
Long term bond	20,000	-
	<u>27,858</u>	<u>100</u>

Unquoted shares have been stated at directors' valuation.

16 DEFERRED TAX

Group and bank

Deferred tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30%. (2000: 30%). The movement on the deferred tax account is as follows:

At start of year, as previously reported	85,893	121,841
Prior year adjustment (deferred tax on revaluation surplus)	(14,421)	(14,421)
As restated	71,472	107,420
Income statement charge (Note 6)	(13,608)	(35,948)
Deferred tax on revaluation surplus	(4,158)	-
At end of year	<u>53,706</u>	<u>71,472</u>

NOTES FORMING PART OF THE FINANCIAL STATEMENTS

for the year ended 31 December 2001

16 DEFERRED TAX (continued)

Consolidated deferred tax assets and liabilities, deferred tax charge in the profit and loss account, and deferred tax charge in equity are attributable to the following items:

	1/1/2001 Shs 000	Charged to Profit & Loss Shs 000	Charged to Equity Shs 000	31/12/2001 Shs 000
Deferred tax liabilities				
Accelerated tax depreciation	(1,846)	(1,853)	-	(3,699)
Revaluation surpluses	14,421	-	4,158	18,579
	<u>12,575</u>	<u>(1,853)</u>	<u>4,158</u>	<u>14,880</u>
Deferred tax assets				
Provisions	(14,248)	2,261	-	(11,987)
Tax losses carried forward	(69,799)	13,200	-	(56,599)
	<u>(84,047)</u>	<u>15,461</u>	<u>-</u>	<u>(68,586)</u>
Net deferred tax asset	<u>(71,472)</u>	<u>13,608</u>	<u>4,158</u>	<u>(53,706)</u>

17 PROPERTY AND EQUIPMENT

Group and bank	Long-term Leasehold Land & Buildings Shs 000	Motor Vehicles Shs 000	Fixtures, Fittings & Equipment Shs 000	Total Shs 000
Cost or valuation				
At start of year	125,570	18,437	127,318	271,325
Additions	570	-	9,328	9,898
Revaluation	13,860	-	-	13,860
Disposals	-	-	(882)	(882)
At end of year	<u>140,000</u>	<u>18,437</u>	<u>135,764</u>	<u>294,201</u>
Depreciation				
At start of year	-	10,846	80,537	91,383
Charge for the year	-	3,988	15,794	19,782
On disposals	-	-	(383)	(383)
At end of year	<u>-</u>	<u>14,834</u>	<u>95,948</u>	<u>110,782</u>
Net book value				
At 31 December 2001	<u>140,000</u>	<u>3,603</u>	<u>39,816</u>	<u>183,419</u>
At 31 December 2000	<u>125,570</u>	<u>7,591</u>	<u>46,781</u>	<u>179,942</u>

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
for the year ended 31 December 2001

17 PROPERTY AND EQUIPMENT (continued)

In the opinion of the directors, there has been no impairment of property and equipment.

Land and buildings were revalued on 31 December 2001 by Mohamed Samji, an independent valuer. Valuations were made on the basis of the open market value. The book values of the properties were adjusted to the revaluations and the resultant surplus, net of deferred tax, was credited to capital reserve in shareholders' equity.

If land and buildings were stated on the historical cost basis, the cost would be Shs 78,071,000 (2000: Shs 77,501,000).

18 CUSTOMER DEPOSITS

Group and bank

	2001 Shs 000	2000 Shs 000
Current and demand deposits	452,810	339,715
Savings accounts	499,162	398,708
Fixed deposit accounts	2,936,470	2,933,625
Unredeemed bearer certificates of deposit	208	208
	<u>3,888,650</u>	<u>3,672,256</u>

19 DEPOSITS AND BALANCES DUE TO BANKING INSTITUTIONS

Group and bank

	2001 Shs 000	2000 Shs 000
Borrowing	103,966	-
Current balances due to banking institutions	46,883	-
	<u>150,849</u>	<u>-</u>

20 INTEREST PAYABLE AND OTHER LIABILITIES

	Group		Bank	
	2001 Shs 000	2000 Shs 000	2001 Shs 000	2000 Shs 000
Accrued interest	21,411	22,432	21,411	22,432
Items in transit	2,699	6,928	2,699	6,928
Due to subsidiary company	-	-	79,561	79,561
Accrued leave and gratuity provision	23,957	23,402	23,957	23,402
Others	192,684	173,155	192,685	173,156
	<u>240,751</u>	<u>225,917</u>	<u>320,313</u>	<u>305,479</u>

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
for the year ended 31 December 2001

20 INTEREST PAYABLE AND OTHER LIABILITIES (continued)

Movement in accrued leave and gratuity provision is as follows:

	Gratuity Shs 000	Accrued Leave Shs 000	Total Shs 000
At start of year	19,903	3,499	23,402
Increase/(utilised) during the year	2,850	(2,295)	555
At end of year	<u>22,753</u>	<u>1,204</u>	<u>23,957</u>

21 SHARE CAPITAL

	Number of Shares (Thousands)	Ordinary Shares Shs 000	Shares Premium Shs 000
Balance at 1 January 2000	<u>79,500</u>	<u>318,000</u>	<u>16,320</u>
Balance at 1 January 2001	<u>79,500</u>	<u>318,000</u>	<u>16,320</u>
Balance at 31 December 2001	<u>79,500</u>	<u>318,000</u>	<u>16,320</u>

The total authorised number of ordinary shares is 125,000,000 with a par value of Shs 4 per share.

22 CAPITAL RESERVES

	Note	Group		Bank	
		2001 Shs 000	2000 Shs 000	2001 Shs 000	2000 Shs 000
Revaluation reserve:					
As at start of year, as previously reported		48,069	48,069	48,069	48,069
Prior year adjustment (deferred tax on revaluation surplus)	16	<u>(14,421)</u>	<u>(14,421)</u>	<u>(14,421)</u>	<u>(14,421)</u>
As restated		33,648	33,648	33,648	33,648
Revaluation during the year		13,860	-	13,860	-
Deferred tax on revaluation	16	<u>(4,158)</u>	<u>-</u>	<u>(4,158)</u>	<u>-</u>
At end of year		<u>43,350</u>	<u>33,648</u>	<u>43,350</u>	<u>33,648</u>
Other					
Bonus shares issued to the bank by subsidiary and associated companies					
At start of year		68,597	68,019	-	-
Translation adjustment		<u>(1,975)</u>	<u>578</u>	<u>-</u>	<u>-</u>
At end of year		<u>66,622</u>	<u>68,597</u>	<u>-</u>	<u>-</u>
		<u>109,972</u>	<u>102,245</u>	<u>43,350</u>	<u>33,648</u>

NOTES FORMING PART OF THE FINANCIAL STATEMENTS

for the year ended 31 December 2001

23 OFF BALANCE SHEET FINANCIAL INSTRUMENTS, CONTINGENT LIABILITIES AND COMMITMENTS

In common with other banks, the bank conducts business involving acceptances, guarantees, performance bonds and letters of credit. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for the purchase and sale of foreign currencies, the nominal amounts for which are not reflected in the consolidated balance sheet.

	2001 Shs 000	2000 Shs 000
Contingent liabilities		
Acceptances and letters of credit	73,170	13,626
Guarantee and performance bonds	39,430	14,621
	<u>112,600</u>	<u>28,247</u>

Nature of contingent liabilities

An acceptance is an undertaking by a bank to pay a bill of exchange drawn on a customer. The bank expects most acceptances to be presented, and reimbursement by the customer is normally immediate. Letters of credit commit the bank to make payments to third parties, on production of documents, which are subsequently reimbursed by customers.

Guarantees are generally written by a bank to support performance by a customer to third parties. The bank will only be required to meet these obligations in the event of the customer's default.

	2001 Shs 000	2000 Shs 000
Commitments		
Undrawn formal stand-by facilities, credit lines and other commitments to lend	576,993	130,922
Foreign exchange forward contracts	94,990	-
	<u>671,983</u>	<u>130,922</u>

Nature of commitments

Commitments to lend are agreements to lend to customer in future subject to certain conditions. Such commitments are normally made for a fixed period. The bank may withdraw from its contractual obligations for the undrawn portion of agreed overdraft limits by giving reasonable notice to the customer.

Foreign exchange forward contracts are agreements to buy or sell a specified quantity of foreign currency, usually on a specified future date at an agreed rate.

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
for the year ended 31 December 2001

24 BUSINESS SEGMENTS

The major part of the business of the group is in Kenya and falls under the category of banking, which accounts for more than 90% of the total income.

25 INTEREST RATE RISK

The group is exposed to various risks associated with the effects of fluctuations in the levels of market interest rate on its financial position and cash flows. The group has a policy of regularly reviewing and re-pricing interest rates.

The table below summarises the exposure to interest rate risks. Included in the table are the group's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The group does not bear an interest rate risk on off balance sheet items. All figures are in thousands of Kenya Shillings.

AT 31 DECEMBER 2001

	Up to 1 month	1-3 months	3-12 months	1-5 years	Over 5 years	Non- interest bearing	Total
ASSETS							
Cash and bank balances with Central Bank of Kenya	-	-	-	-	-	659,736	659,736
Government securities	806,377	563,712	85,300	1,000	-	-	1,456,389
Deposits and balances due from banking institutions	592,545	480,042	-	-	-	-	1,072,587
Investments in associates	-	-	-	-	-	168,165	168,165
Other investments	7,758	20,000	-	-	-	100	27,858
Interest receivable and other assets	-	-	-	-	-	94,333	94,333
Advances to customers	1,544,537	-	-	-	-	244,869	1,789,406
Property and equipment	-	-	-	-	-	183,419	183,419
Tax recoverable	-	-	-	-	-	24,680	24,680
Deferred tax asset	-	-	-	-	-	53,706	53,706
Total assets	2,951,217	1,063,754	85,300	1,000	-	1,429,008	5,530,279
LIABILITIES & SHAREHOLDERS' FUNDS							
Customer deposits	2,670,052	1,167,355	51,035	-	-	208	3,888,650
Deposits and balances due to banking institutions	150,849	-	-	-	-	-	150,849
Interest payable and other liabilities	-	-	-	-	-	240,751	240,751
Shareholders' funds	-	-	-	-	-	1,250,029	1,250,029
Total liabilities & shareholders' funds	2,820,901	1,167,355	51,035	-	-	1,490,988	5,530,279
Interest sensitivity gap	130,316	(103,601)	34,265	1,000	-	(61,980)	-

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
for the year ended 31 December 2001

25 INTEREST RATE RISK (continued)

AT 31 DECEMBER 2000

	Up to 1 month	1-3 months	3-12 months	1-5 years	Over 5 years	Non- interest bearing	Total
Total assets	2,325,747	1,492,148	-	1,000	-	1,336,408	5,155,303
Total liabilities and shareholders' funds	2,124,613	1,299,327	63,384	-	-	1,667,979	5,155,303
Interest sensitivity gap	201,134	192,821	(63,384)	1,000	-	(331,571)	-

26 LIQUIDITY RISK

The group is exposed to daily calls on its available cash resources from deposit repayments, current account withdrawals, loan draw downs and crystallisation of contingent liabilities. The group manages the level of maturing funds available to meet such calls.

The table below analyses assets and liabilities into relevant maturity groupings based on the remaining period at 31 December 2001 to the contractual maturity date. All figures are in thousands of Kenya Shillings.

AT 31 DECEMBER 2001

	Up to 1 month	1-3 months	3-12 months	1-5 years	Over 5 years	Total
ASSETS						
Cash and bank balances with						
Central Bank of Kenya	464,992	189,200	5,544	-	-	659,736
Government securities	806,376	390,863	30,050	229,100	-	1,456,389
Deposits and balances due from banking institutions	592,545	480,042	-	-	-	1,072,587
Investments in associates	-	-	-	-	168,165	168,165
Other investments	7,758	-	-	20,100	-	27,858
Interest receivable and other assets	94,333	-	-	-	-	94,333
Advances to customers	158,297	198,524	930,949	498,951	2,685	1,789,406
Property and equipment	-	-	-	14,500	168,919	183,419
Tax recoverable	-	-	-	24,680	-	24,680
Deferred tax asset	-	-	-	53,706	-	53,706
Total assets	2,124,301	1,258,629	966,543	841,037	339,769	5,530,279

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
for the year ended 31 December 2001

26 LIQUIDITY RISK (continued)

AT 31 DECEMBER 2001	Up to 1 month	1-3 months	3-12 months	1-5 years	Over 5 years	Total
LIABILITIES & EQUITY						
Customer deposits	2,670,260	1,167,355	51,035	-	-	3,888,650
Deposits and balances due to banking institutions	150,849	-	-	-	-	150,849
Interest payable and other liabilities	232,405	7,996	350	-	-	240,751
Shareholders' funds	-	-	-	-	1,250,029	1,250,029
Total liabilities & Shareholders' funds	3,053,514	1,175,351	51,385	-	1,250,029	5,530,279
 Net liquidity gap	 (929,213)	 83,278	 915,158	 841,037	 (910,260)	 -
 AT 31 DECEMBER 2000						
Total assets	1,492,092	1,649,916	1,021,849	640,747	350,699	5,155,303
Total liabilities and equity	2,527,769	1,306,662	111,442	-	1,209,430	5,155,303
 Net liquidity gap	 (1,035,677)	 343,254	 910,407	 640,747	 (858,731)	 -

The matching and controlled mismatching of the maturities and interest rates of assets and liabilities is fundamental to the management of the bank. It is unusual for banks ever to be completely matched since business transacted is often of uncertain terms and of different types. An unmatched position potentially enhances profitability, but can also increase the risk of losses.

The maturities of assets and liabilities and the ability to replace, at an acceptable cost, interest-bearing liabilities as they mature, are important factors in assessing the liquidity of the bank and its exposure to changes in interest rates and exchange rates.

27 CREDIT RISK

The group takes on exposure to credit risk which is the risk that a counter party will be unable to pay amounts in full when due. The group structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or group of borrowers.

Exposure to credit risk is managed through regular analysis of the ability of borrowers interest and capital repayment obligations and by changing these lending limits where appropriate. Exposure to credit risk is also managed in part by obtaining collateral and corporate and personal guarantees.

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
for the year ended 31 December 2001

28 CURRENCY RISK

The group takes on exposure to effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows.

The group had the following significant foreign currency positions (all amounts expressed in thousands of Kenya Shillings):

AT 31 DECEMBER 2001

	USD	GBP	Euro	Other	Total
ASSETS					
Cash and balances with Central Bank of Kenya	3,488	3,399	-	-	6,887
Deposits and balances due from banking institutions	442,294	31,044	8,014	152	481,504
Loans and advances to customers	50,953	73,927	50,438	-	175,318
Interest receivable and other assets	11,702	2,384	681	766	15,533
Total assets	508,437	110,754	59,133	918	679,242
LIABILITIES					
Customer deposits	513,293	17,772	8,489	1,967	541,521
Deposits and balances due to banking institutions	69,701	-	-	1,147	70,848
Interest payable and other liabilities	837	75	1	-	913
Total liabilities	583,831	17,847	8,490	3,114	613,282
Net balance sheet position	(75,394)	92,907	50,643	(2,196)	65,960
Net off balance sheet position	39,239	(56,160)	(38,817)	-	(55,738)
Overall net position	(36,155)	36,747	11,826	(2,196)	10,222
AT 31 DECEMBER 2000					
Total assets	428,503	39,749	554	8,866	477,672
Total liabilities	401,220	27,871	-	433	429,524
Net balance sheet position	27,283	11,878	554	8,433	48,148
Net off balance sheet position	-	-	-	-	-
Overall net position	27,283	11,878	554	8,433	48,148

NOTES FORMING PART OF THE FINANCIAL STATEMENTS

for the year ended 31 December 2001

29 FAIR VALUES AND EFFECTIVE INTEREST RATES OF FINANCIAL ASSETS AND LIABILITIES

In the opinion of the directors, the fair values of the group's financial assets and liabilities approximate the respective carrying amounts, due to the generally short periods to contractual repricing or maturity dates as set out in Note 25.

The effective interest rates for the principal financial assets and liabilities at 31 December 2001 and 2000 were as follows:

	2001		2000	
	In Shs	In US\$	In Shs	In US\$
ASSETS				
Government securities	11.5%	-	12.0%	-
Deposits with banking institutions	-	2.5%	16.0%	6.2%
Loans and advances to customers	14.5%	7.0%	18.0%	-
LIABILITIES				
Customer deposits	6.6%	1.9%	6.4%	4.3%
Deposits due to banking institutions	10.4%	1.9%	-	-

30 ANALYSIS OF CASH AND CASH EQUIVALENTS AS SHOWN IN THE CASH FLOW STATEMENT

	2001 Shs 000	2000 Shs 000
Cash and balances with Central Bank of Kenya (Note 9)	25,353	20,677
Government securities (Note 10)	1,197,239	1,645,507
Deposits and balances due from banking institutions (Note 11)	1,072,587	597,405
Deposits and balances due to banking institutions (Note 19)	(150,849)	-
	<u>2,144,330</u>	<u>2,263,589</u>

For the purposes of the cash flow statement, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition including cash and balances with Central Bank, treasury bills and bonds and amounts due from other banks.

31 RELATED PARTY TRANSACTIONS

	2001 Shs 000	2000 Shs 000
Directors' remuneration:		
- Fees	930	1,020
- Other	12,394	22,269
	<u>13,324</u>	<u>23,289</u>

NOTES FORMING PART OF THE FINANCIAL STATEMENTS
for the year ended 31 December 2001

31 RELATED PARTY TRANSACTIONS (continued)

At 31 December 2001 advances to companies controlled by directors or their families amounted to Shs 52,621,000 (2000: Shs 30,473,000).

All the above loans were given on commercial terms and at market rates.

At 31 December 2001 advances to employees amounted to Shs 5,048,000 (2000: Shs 6,436,000). These loans were given at concessionary rates.

At 31 December 2001 customer deposits includes deposits due to directors or their families, employees and associates of Shs 33,630,000 (2000: Shs 156,401,000).

At 31 December 2001 contingent liabilities includes guarantees issued for the account of directors, employees and associates amounting to Shs 2,415,000 (2000: Shs 2,350,000).

32 CENTRAL BANK OF KENYA (AMENDMENT) ACT 2000.

The Central Bank of Kenya (Amendment) Act 2000, which had a commencement date of 1 January 2001, received presidential assent on 6 August 2001. Subsequent to that date the Kenya Bankers Association (KBA), on behalf of its members, filed a suit in a constitutional court challenging the legality of the said Act. The Court, delivering its judgment on 24 January 2002, ruled that the retrospective operation of the Act is void.

The KBA sought legal advice on behalf of its members and advised the Bank that the Act does not have an operating date and that Section 39 of the Act is unoperational. The Act will remain unoperational until a prospective date is put in place of the invalidated one by Parliament. The directors have relied on this advice and the financial statements have been prepared on this basis.



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Diamond Trust Building, 17/19 Kampala Road,
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Tel: (00641) 259331/2/3, Fax: (00641) 342286



**DIAMOND
TRUST**

DIAMOND TRUST BANK KENYA LIMITED

PROXY FORM

I/We

of

being a member/members of Diamond Trust Bank Kenya Limited, hereby appoint

.....

of

and failing him,

of

and failing him, the chairman of the meeting as my/our proxy to vote for me/our and on my/our behalf at the Annual General Meeting of the Bank to be held on Friday 28 June 2002 at 10:00 a.m. and at any adjournment thereof.

As witness my/our hand thisday of2002.

Signature

Important Notes

- 1. If you are unable to attend this meeting personally, this Proxy Form should be completed and returned to The Company Secretary, P.O. Box 61711, City Square 00200, Nairobi, so as to reach her not later than 48 hours before the time appointed for holding the meeting.*
- 2. A person appointed to act as a proxy need not be a member of the Bank.*
- 3. If the appointer is a corporation, this Proxy Form must be under seal or under the hand of officer or Attorney duly authorised in writing.*

Fold here



The Company Secretary,
Diamond Trust Bank Kenya Limited,
P. O. Box 61711, City Square 00200
Nairobi, Kenya

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